# IHS Lectures: ECONOMICS

Lecture 2:

Key Economic Measures

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# The Three Main Economic Actors

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### Firms

Businesses that produce and distribute goods and services, hire workers, and make production decisions

### Households

Individuals who work, consume, care for others, and provide labour to the economy

### Government

Public institutions that collect taxes, provide services, and regulate interactions between all actors

These three actors form the foundation of economic activity, continuously exchanging goods, services, labour, and money through various markets and institutions.

# The Circular Flow of Income

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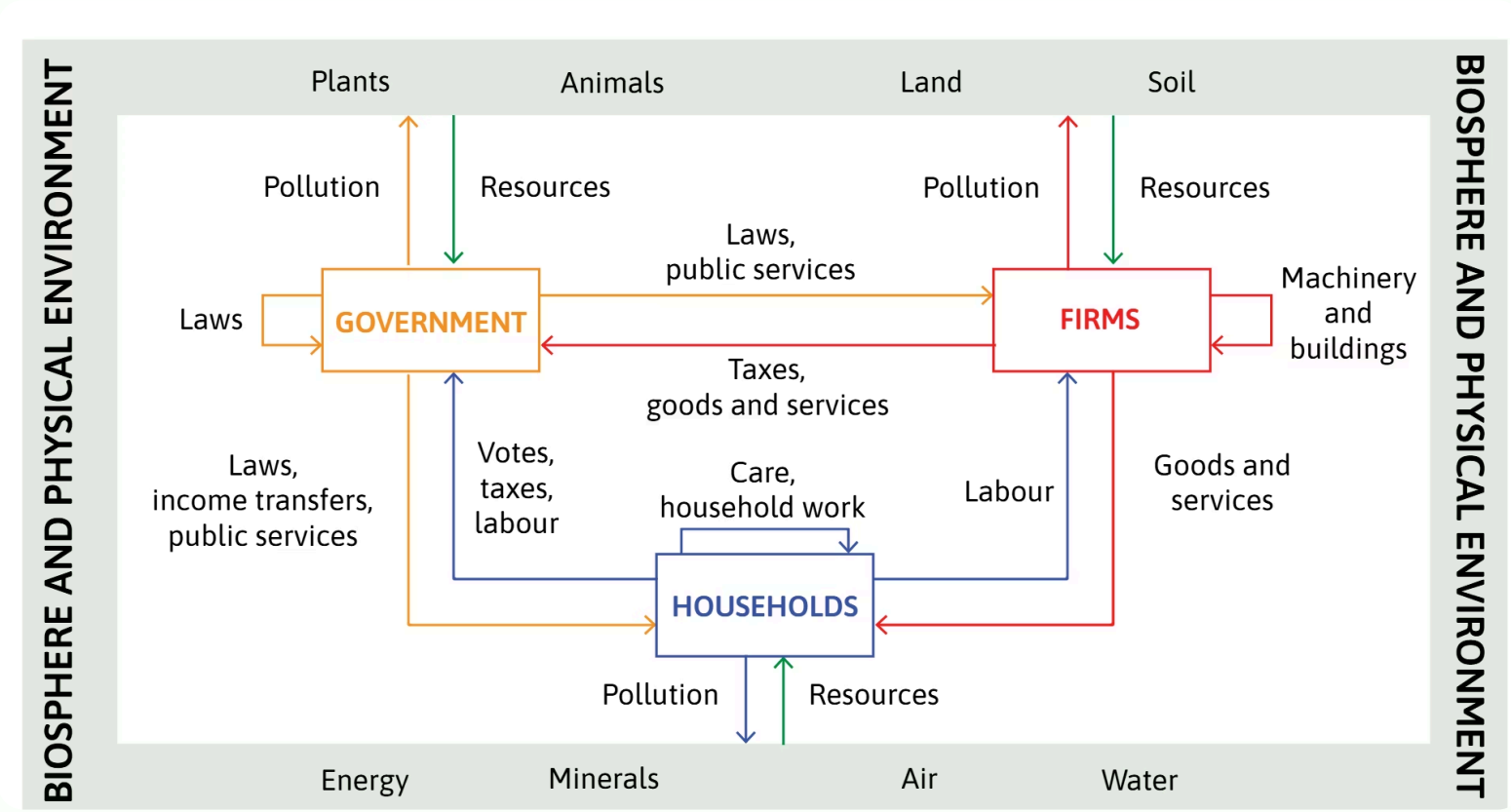

# Beyond the Basic Model

Like any map, economic models are simplifications. A complete picture would include international trade, financial markets, and diverse household types—from wealthy to poor, across different ages and communities.

Economic models help us focus on particular features to answer specific questions, even though they cannot capture every detail of reality.

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The supply side represents the productive capacity of the economy—all activities required to create the goods and services available for purchase.

# The Demand Side of the Economy

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### Household Consumption

Individual and family spending on goods and services

### Business Investment

Firms purchasing machinery, buildings, and equipment

### Net Exports

Foreign purchases of domestic goods minus imports

### Government Spending

Public expenditure on services and infrastructure

# GDP

## Measuring Economic Output

**Gross Domestic Product (GDP)** measures the monetary value of all final goods and services—that is, those that are bought by the final user—produced in a country in a given period of time (say a quarter or a year).

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The “gross” domestic product takes no account of the “wear and tear” on the machinery, buildings, and so on (the so-called capital stock) that are used in producing the output. If this depletion of the capital stock, called depreciation, is subtracted from GDP we get **Net Domestic Product.**

# GDP vs GNP

### Gross Domestic Product (GDP)

Counts all output produced **within a country's borders**, regardless of who owns the production facilities

*Example:* A German-owned factory in India contributes to India's GDP

### Gross National Product (GNP)

Counts all output produced **by a country's residents**, regardless of where production occurs

*Example:* That same German-owned Indian factory contributes to German GNP

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All three approaches theoretically yield the same GDP value, but data collection difficulties mean they never match exactly. Many countries use the production approach as their official measure.

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### Historical Significance

Real GDP per capita over time tells the story of innovation, technological advancement, and escape from Malthusian limits on living standards.

### Instrumental Importance

Real GDP growth correlates closely with job availability and income levels—vital foundations for people's quality of life and ability to pursue their goals.

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Is GDP a good measure of welfare?

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Sustainable GDP growth—enabling future generations to consume at least as much as people consume today—is likely to be lower than the GDP growth recorded over many years. Economists now work to introduce estimates of natural capital and its depletion rate into national accounts.

# The Household Work Debate

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**The production boundary dilemma:** As more women work for pay, markets for household services have grown. Families now switch between performing and buying these services—yet traditional GDP doesn't value unpaid household work.

There's no logical reason to treat household work differently from any other productive activity.

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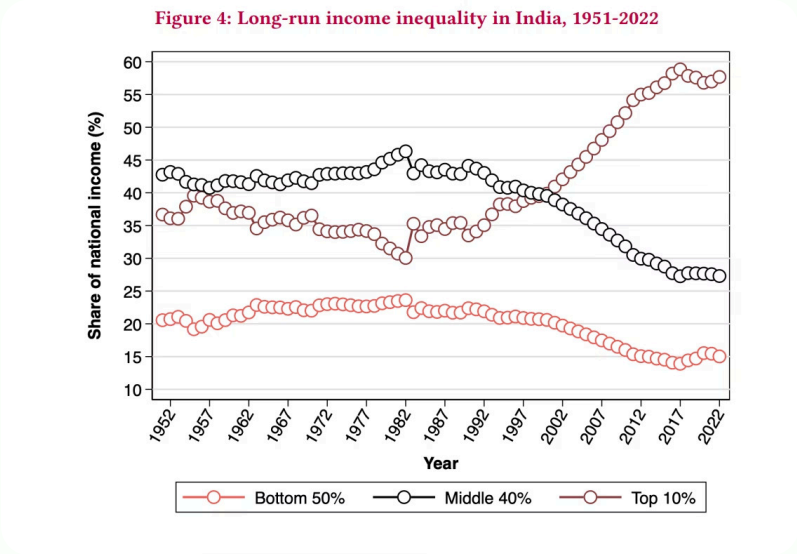


Source: *World Inequality Lab Working Paper No. 2024/09*

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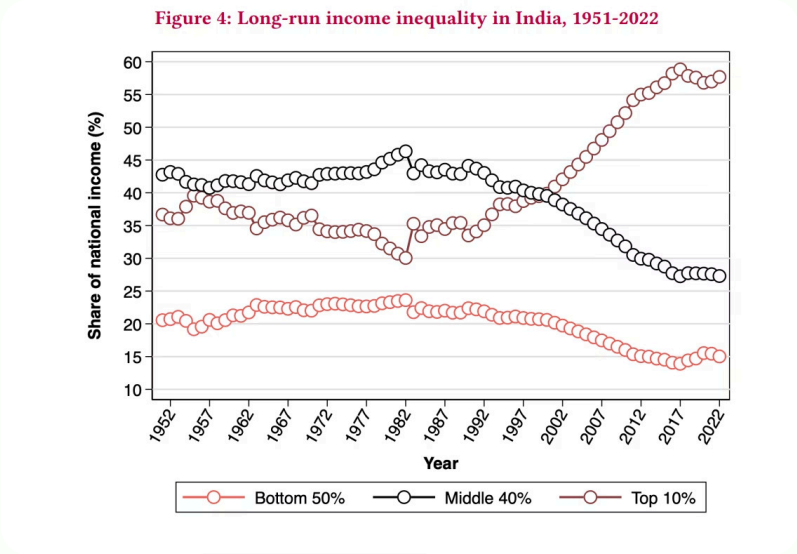


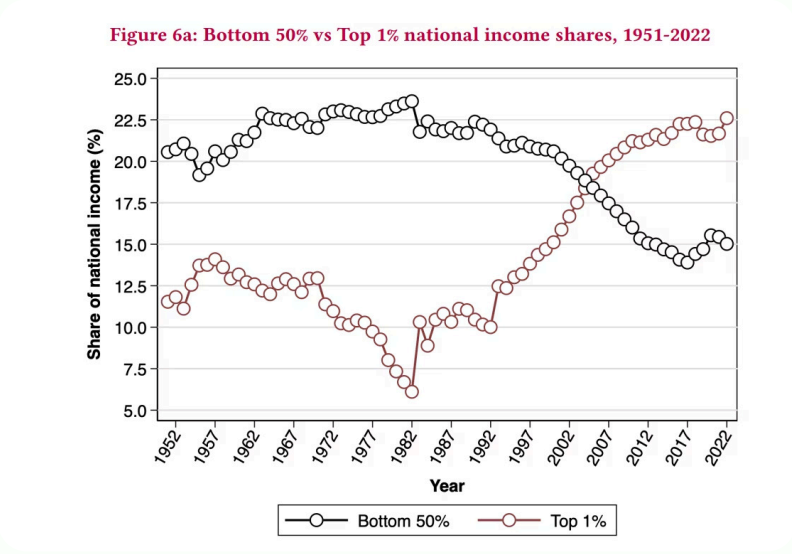


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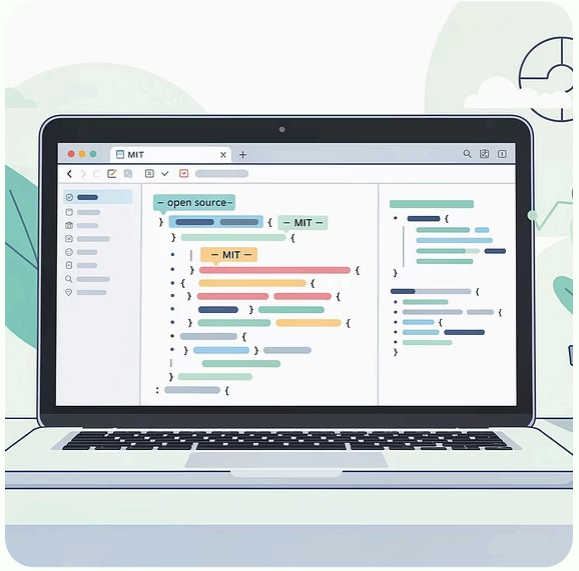
# Technology's Challenge to GDP Measurement

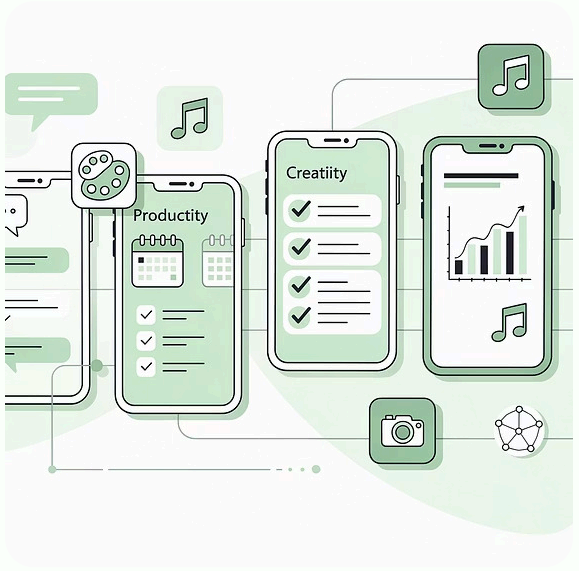
### Blurred Boundaries

The line between home and work erodes as more people freelance through digital platforms, using household assets for paid work




### Free Value

People contribute free digital work like open-source software that substitutes for marketed products, creating value despite zero price




### Quality Improvements

Rapid innovation in telecommunications, biotechnology, and green energy may not be fully captured in traditional statistics

# Proposals for Better Measurement

1

**Dashboard Approach**

The Stiglitz-Sen-Fitoussi Commission recommended publishing multiple economic welfare measures, arguing that multiple dimensions cannot be reduced to one number

2

**Distribution-Adjusted GDP**

Combine distributional information from household surveys with national accounts to reflect inequality

3

**Comprehensive Welfare Index**

Single measures incorporating consumption, leisure, mortality, and inequality—closing gaps in living standard assessments

4

**Natural Capital Accounting**

Introduce estimates of environmental assets and their depletion into mainstream economic statistics

# Employment and Unemployment

- The employment situation is often tracked through **Unemployment Rate** - the percentage of the labour force actively seeking employment but unable to find it at a given time.

- Even in a well-functioning economy, a certain level of unemployment (typically 3-4%) is considered **natural** and unavoidable due to various economic frictions.

- A significantly higher unemployment rate often signals an **economic crisis or a recession**, reflecting widespread job losses.

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However, unemployment rate may not be a good indicator of economic distress in a poor country. Why?

# Structural Transformation

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**Migration from rural to urban sector and rapid urbanisation**

**Rise of a modern industrial and service sector**

**Demographic transition from high birth and death rates to low birth and death rates**

**At the completion of the transformation process there is near equalisation of labour productivity in the agricultural and non-agricultural sectors**

**At this stage, returns from employment become sufficiently high across sectors**

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### Stagflation Challenges

•However, the Phillips curve wisdom had been challenged repeatedly with situations of ‘stagflation’ i.e. economic stagnation or even recession in conjunction with high inflation.

# Fiscal Deficit

- Just like any household or business, a government operates with an income and an expenditure side.
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### Keynesian View

- suggests that fiscal deficits can be sustainable and even beneficial, especially if government spending is directed towards productive investments and job creation during economic downturns.
- A historical example is the **New Deal** program, which helped overcome the Great Depression.